

Tutorial 4

Trading vs. Investing and the Circle of Competence

A student-ready module for separating short-term setups from long-term ownership theses.

Module purpose

Prepared from the April 21, 2026 class transcript. Original discussion anchor: the difference between trading and investing, Warren Buffett-style patience, industry knowledge as an edge, and the warning that unfamiliar industries require humility. Educational material only - not investment advice.

Ideal length	Audience	Student output
75-90 minutes	Beginner to intermediate market students	One trade plan + one investment thesis on the same company

1. Lesson snapshot

What the live conversation was really about

The discussion separated day trading from investing. Trading was framed as short-term execution and market structure. Investing was framed as long-term business ownership, patience, and research. The deeper lesson is that students must know which game they are playing before risking capital.

The circle-of-competence idea gives students a practical filter. They do not need to understand every company. They need to know what they can evaluate, what they cannot evaluate yet, and what evidence would move a company from outside their circle to inside it.

Question	Trading answer	Investing answer
Time horizon	Minutes to days; sometimes weeks for swing trades.	Years; often through business cycles.
Main evidence	Price action, volume, volatility, catalysts, levels, liquidity, risk controls.	Business quality, financials, management, industry structure, valuation, reinvestment, moat.
Risk question	Where is the trade wrong and where do I exit?	What could permanently impair the business or thesis?
Primary document	Trade plan and journal.	Investment memo and filings.
Failure mode	Chasing, overtrading, oversized position, no stop.	Story stock, no valuation, ignoring balance sheet or competitive risk.

2. Learning objectives

- Define trading and investing by time horizon, evidence, and risk-control method.
- Build a one-day trade plan and a five-year investment thesis for the same company.
- Use circle of competence as a research boundary, not an ego label.
- Explain why knowing an industry can create an edge but does not remove the need for evidence.
- Recognize that easier day-trading access does not make day trading safer.

3. Circle of competence: what it is and what it is not

A circle of competence is the set of businesses, industries, metrics, and risks a student can evaluate with real understanding. It is not the list of companies they like. It is not a list of tickers they follow on social media. It is a boundary of evidence.

Buffett anchor

Buffett teaches that investors only need to evaluate selected businesses within their circle of competence, and that knowing the boundary of that circle is vital. Berkshire letters are a primary-source way to study this discipline. [6][7][8]

Inside my circle	Near the edge	Outside my circle
I understand the product, customer, unit economics, risks, competitors, and filings.	I understand the product but not the accounting, regulation, cyclicalilty, or valuation yet.	I am repeating a story, headline, or social-media thesis without being able to test it.

Inside my circle	Near the edge	Outside my circle
Example: a nurse analyzing managed-care utilization after reading filings.	Example: a car enthusiast analyzing Tesla robotics without understanding manufacturing economics yet.	Example: buying a biotech because an influencer says FDA approval is coming.

4. Two documents for the same company

One of the strongest classroom exercises is to force students to write two separate documents on the same ticker. If they cannot separate the evidence, they are probably mixing trading and investing.

Document	Must include	Must not include
1-day trade plan	Catalyst, levels, entry trigger, invalidation, stop, target, position size, time stop, journal notes.	Five-year dreams, CEO admiration, product loyalty, or vague undervaluation claims.
5-year investment thesis	Business model, financials, balance sheet, management, industry structure, valuation, risks, monitoring checklist.	Intraday candles, random option flow, social-media excitement, or hope that price will bounce today.

Teaching phrase

A trade can be right even if the company is mediocre. An investment can be right even if the stock is volatile this week. The evidence is different because the game is different.

5. Risk: trading rules changed, but risk did not disappear

Because rules and margin requirements can change, instructors should keep this section current. As of April 2026, FINRA says new intraday margin standards replace the old pattern day trader requirements, including the day-trade count designation and the \$25,000 minimum equity requirement. That does not make day trading safe. It means students must understand their broker's intraday margin rules and risk controls. [3][4]

Risk source	Trading control	Investing control
Leverage/margin	Know intraday margin, avoid forced liquidation, size smaller.	Avoid leverage unless thesis, liquidity, and downside are understood.
Emotion	Use pre-written stop, max daily loss, no revenge trades.	Use thesis checklist and review schedule, not daily emotions.
Information gap	Do not trade catalysts you do not understand.	Read filings, financials, and risks before buying.
Concentration	Limit position size per trade.	Use asset allocation and diversification. [5]

Regulatory warning

SEC and Investor.gov materials warn that day trading can produce severe losses and requires risk tolerance, experience, time, and temperament. Easier access should never be taught as permission to gamble. [1][2]

6. Evidence ladder: how a student moves a company into their circle

A student can expand their circle, but only through work. The evidence ladder below turns curiosity into competence.

Stage	Student action	Evidence standard
1. Curiosity	Explain the company in plain English.	Can identify product, customer, and revenue source.
2. Filing read	Read 10-K business, risk factors, MD&A, and financials.	Can cite exact company risks and business segments. [9]
3. Metrics	Identify industry-specific KPIs and ratios.	Can explain profitability, liquidity, solvency, valuation, and industry ratios. [10]
4. Competitors	Compare peers, suppliers, customers, and substitutes.	Can explain why this company is better, worse, or different.
5. Valuation and risk	Estimate range of value and what could break the thesis.	Can write base, bull, and bear cases without hype.

7. Worksheet: trade plan vs investment thesis

Section	Prompt	Student notes
Ticker	Company and reason for choosing it.	
Trade plan	Catalyst, level, entry, stop, target, time frame, position size.	
Trade invalidation	What exact price/action proves the trade is wrong?	
Investment thesis	Business quality, industry, financials, valuation, management, risks.	
Thesis invalidation	What business evidence would make the long-term thesis wrong?	
Circle status	Inside, edge, or outside my competence - and what research is missing?	

8. Classroom discussion prompts

- Can a student understand a product but still fail to understand the stock?
- What is one example of a company inside your circle of competence and one outside it?
- How would the same headline matter differently to a trader and an investor?
- Why can day trading rules become easier while day trading remains dangerous?
- What evidence would move a company from outside your circle to near the edge?

9. Assessment rubric

Skill	Excellent	Needs work
Separation	Trade plan and investment thesis use different evidence and time frames.	Mixes chart hope with long-term story.
Circle discipline	Clearly states what is known, unknown, and being researched.	Claims expertise because the company is familiar or popular.
Risk control	Includes stop/invalidation for trade and thesis-breaker for investment.	Has no exit rule or risk limit.
Primary evidence	Uses filings, official sources, and ratios.	Uses social media as the main evidence.

10. Source-backed reading list

Use these as the external reading pack. Pair Buffett letters with SEC/FINRA risk material so students learn patience and risk control together.

[1] [Investor.gov - Thinking of Day Trading? Know the Risks](#). Investor.gov emphasizes matching investment decisions to risk tolerance, objectives, time horizon, financial situation, and ability to handle losses.

[2] [SEC - Day Trading: Your Dollars at Risk](#). SEC warns that day trading can be highly risky and that many individual investors do not have the wealth, time, or temperament to sustain losses.

[3] [FINRA Regulatory Notice 26-10](#). FINRA says new intraday margin standards replace the old pattern day trader requirements, day-trade count requirements, and the \$25,000 minimum equity requirement.

[4] [FINRA - Understanding the New Intraday Margin Requirements](#). FINRA explains there is no \$25,000 minimum equity requirement or pattern day trader designation under the new standards, but firms monitor intraday margin and deficits.

[5] [Investor.gov - Asset Allocation and Diversification](#). Investor.gov explains that asset allocation depends on time horizon and risk tolerance, and diversification spreads money across assets to reduce portfolio risk.

[6] [Berkshire Hathaway - 1996 Shareholder Letter](#). Buffett explains that investors need to evaluate selected businesses within their circle of competence and know its boundaries.

[7] [Berkshire Hathaway - 2013 Shareholder Letter](#). Buffett writes that it is vital to recognize the perimeter of the circle of competence and stay well inside it.

[8] [Berkshire Hathaway - Shareholder Letters archive](#). Official archive of Berkshire Hathaway shareholder letters for students studying long-term investment philosophy.

[9] [SEC Investor.gov - How to Read a 10-K](#). A 10-K offers a detailed picture of what the company does, its risks, and its financial report.

[10] [CFA Institute - Financial Analysis Techniques](#). CFA Institute provides a framework for analysis techniques and financial ratios used in company evaluation.

Instructor reminder

Trading and investing are different games. The student must write down which game they are playing before capital is at risk.